

Financial Intermediary Institutions Act, 1998

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Act on Institutions Engaged in Financial Intermediation, 2055 (1998)

Seal and Publication Date

2054.12.17

Amending Acts

1. Act on Institutions Engaged in Financial Intermediation

(First Amendment) Act, 2058 (2001) 2059.4.22

2. Republic Strengthening and Amendment of Certain Nepal Acts

Act, 2066 (2009) 2066.1.07

3. Act to Amend Certain Nepal Acts to Make Them Consistent with the Constitution of Nepal

Act, 2075 (2018) 2075.11.19

Act No. 29 of the year 2054 (1998)

An Act Made to Provide for the Institutions Engaged in Financial Intermediation

Preamble: Whereas it is expedient to make provisions relating to institutions engaged in financial intermediation to collect Amended by the First Amendment.micro-savings institutionally and to provide micro-credit to low-income persons residing in various parts of the country by engaging them in Amended by the First Amendment.micro-enterprises to improve their economic condition,

Now, therefore, the Parliament has enacted this Act in the twenty-eighth year of the reign of His Majesty King Birendra Bir Bikram Shah Dev. Chapter - 1

Preliminary

1. Short Title and Commencement: (1) This Act may be called the "Act on Institutions Engaged in Financial Intermediation, 2054 (1998)".

(2) This Act shall commence on the date appointed by the Government of Nepal by a notification published in the Nepal Gazette. 2.

Definitions: Unless the subject or context otherwise requires, in this Act,- (a) "Financial Intermediation" means the work of collecting Added by the First Amendment.micro-savings and providing micro-credit pursuant to this Act. (b) Amended by the First Amendment."Institution" means an institution registered under the Institution Registration Act, 2034 (1977) and having obtained a license to engage in financial intermediation pursuant to this Act. (c) "License" means a license granted under Section 5 to engage in financial intermediation. (d) "Bank" means Nepal Rastra Bank established under the Nepal Rastra Bank Act, 2058 (2002). (e) Amended by the First Amendment."Micro-enterprise" means an income-generating business carried on with less than ten persons engaged in its operation. (f) "Low-income Person" means a person whose income is less than that prescribed by the Bank from time to time. (g) "Group" means a group of

low-income persons formed after completing the process as prescribed. (h) "Collective Guarantee" means a deed of guarantee written to the Institution by the other members of a group, agreeing to collectively repay the micro-credit taken by a member of that group if such member fails to repay it. (i) Added by the First Amendment. "Micro-savings" means savings amounts collected by the Institution from low-income persons who are members of the Institution or from groups of such persons, as prescribed by the Bank from time to time. (j) Amended by the First Amendment. "Micro-credit" means credit provided by the Institution to operate a micro-enterprise, up to the limits prescribed by the Bank from time to time. (k) "Borrower" means a group or any member of a group taking micro-credit from the Institution. (l) "Collateral" means movable or immovable property for which a deed of mortgage, pledge, or any other type of instrument has been executed under the prevailing law when taking micro-credit. (m) "Employee" means a person appointed by the Institution to work, whether with or without remuneration, and the term shall also include the office-bearer of the Institution. (n) "Prescribed" or "as prescribed" means prescribed or as prescribed by rules or regulations made under this Act. Chapter - 2 Provisions Relating to License 3. Not to Engage in Financial Intermediation Without License: After the commencement of this Act, no person shall engage or cause to engage in financial intermediation Added by the First Amendment.pursuant to this Act without obtaining a license. 4.

Application to be Submitted for License: If an institution registered under the Institution Registration Act, 2034 (1977) with the objective of engaging in financial intermediation wishes to engage in financial intermediation pursuant to this Act, it shall submit an application to the Bank in the prescribed format stating the following details:- (a) Certificate of registration of the institution and the charter of the institution, (b) Names, addresses, and occupations of the office-bearers of the institution, (c) Total number of members of the institution, (d) Movable and immovable property of the institution, (e) Geographical area in which the institution wishes to engage in financial intermediation, (f) Other matters as prescribed. 5. License to be Granted: (1) Upon receipt of an application under Section 4, the Bank shall conduct necessary inquiries into such application, and if it appears necessary to obtain further information or details during such inquiry, the Bank may call for further information or details from the institution submitting such application. (2) If, after conducting inquiries under subsection (1), the Bank deems it appropriate to grant a license, it shall collect the prescribed fee and grant a license to the applicant in the prescribed format to engage in financial intermediation. (3) When granting a license under subsection (2) Added by the First Amendment.or informing of rejection, it shall be done within Amended by the First Amendment.a maximum of seventy-five days from the date of receipt of the application or, if further information or details were called for under subsection (1), from the date of receipt of such information or details. (4) Deleted by the First Amendment. 6. Conditions may be Prescribed: (1) The Bank may, while granting a license under Section 5, prescribe conditions to be complied with by the Institution while engaging in financial intermediation. (2) It shall be the duty of the Institution to comply with the conditions prescribed under subsection (1). 7. License to be Renewed: Added by the First Amendment.(1) The Institution shall have the license renewed from the Bank every two years as prescribed. (2) If the license is not renewed within the period under subsection (1), such license shall be automatically cancelled. (3) Other provisions relating to license renewal shall be as prescribed. Chapter - 3 Work, Duties, and Powers of the Institution 8.

Work, Duties, and Powers of the Institution: In addition to the work, duties, and powers mentioned elsewhere in this Act, the work, duties, and powers of the Institution shall be as follows:- (a) To encourage low-income persons to form groups, (b) Added by the First Amendment.To collect micro-savings from groups or group members, (c) To provide micro-credit to groups or group members for operating micro-enterprises, with or without taking any movable or immovable property as collateral or guarantee, (d) Added by the First Amendment.To obtain loans or grants from the Government of Nepal or the Bank or domestic or foreign

associations, institutions, etc., and to utilize such loans or grants for the distribution of micro-credit or for making that work effective, Amended by the First Amendment. Provided that, while obtaining loans, grants, or any assistance from foreign associations, institutions, etc., the Institution shall obtain the approval of the Government of Nepal through the Bank. (e) To appraise the work for which the credit is requested before providing micro-credit and to identify whether such work is feasible, (f) To publicize micro-enterprises of a type that will improve the economic condition of low-income persons, (g) To conduct workshops regarding micro-enterprises, provide training for project formulation, provide assistance, impart technical knowledge, and arrange technical assistance as required, (h) Added by the First Amendment. To provide necessary services to the group regarding the mobilization of micro-savings and micro-credit, (i) To take necessary action for the timely recovery of micro-credit, (j) To conduct inspections from time to time regarding whether the micro-credit has been properly utilized, and if proper utilization is not found during inspection, to give necessary directions Added by the First Amendment. or take necessary action, (k) Added by the First Amendment. To perform other work as prescribed regarding the collection of micro-savings and distribution of micro-credit, Added by the First Amendment. (l) To act as an agent of commercial banks and financial institutions. 9. Bank may call for Details, Statistics, or Documents: The Bank may call for any details, statistics, or documents Added by the First Amendment. related to micro-savings and micro-credit from the Institution, and it shall be the duty of the concerned Institution to submit the details, statistics, or documents so called for. 10.

Agreement to be Made: (1) While providing micro-credit, the Institution shall make a written agreement with the borrower including conditions as necessary for the collateral and proper utilization of such credit. (2) While making an agreement under subsection (1), the Institution may prescribe conditions such as fixing any repayment period, requiring repayment of principal and interest in case of breach of conditions set by the Institution, or enabling recovery from the collateral or collective guarantee executed by the borrower. Provided that while taking collateral from a borrower, the Institution shall not take collateral from a person unrelated to the group. 11. Rights of the Institution in Case of Breach of Condition: (1) If any borrower fails to comply with the agreement or conditions made with the Institution, or does not repay the Institution's micro-credit within the period stipulated in the deed, or if upon inspection by the Institution the amount taken as micro-credit is found to have been misused or embezzled, then, notwithstanding anything contained in the prevailing law, the Institution may auction sell the collateral executed to or kept with the Institution by the borrower under the prevailing law and recover the principal and interest. (2) If a borrower transfers the right over the collateral kept with the Institution to any other person in any manner, or if the value of the collateral kept with the Institution diminishes for any reason, then, notwithstanding anything contained in the prevailing law, the Institution may require the borrower to keep additional collateral covering the credit amount within a period prescribed by the Institution. If the borrower fails to keep such collateral within the period prescribed by the Institution, the Institution may recover its principal and interest by auction selling from the property held as collateral. (3) If, upon recovery by auction sale under subsection (1) or (2), the full amount of the Institution's principal and interest cannot be recovered from such collateral, the Institution may recover by auction sale from the other assets of that member, in case a member has taken individual micro-credit, or from the other assets of the members of such group, in case micro-credit has been taken collectively. (4) Out of the amount recovered by auction sale under this section, after deducting the expenses incurred in the auction sale of the property and the amount of the Institution's principal and interest, the remaining amount shall be returned to the concerned Amended by the First Amendment. person. (5) If no one accepts the property upon auction sale by the Institution under this section, the Institution may itself accept such property Added by the First Amendment. as prescribed. 12.

Registration or Entry to be Provided: (1) When a property held as collateral is auction sold under Section 11, if any person accepts the auction, the Institution shall send a letter to the concerned Land Revenue Office for registration or entry of such property in the name of such person under the prevailing law, and if no person accepts the auction and the Institution accepts it, for registration or entry in the name of the Institution. (2) Upon receipt of a letter from the Institution under subsection (1), the concerned Land Revenue Office shall provide registration or entry. 13. Deleted by the First Amendment 14. Determination of Interest Rate: Amended by the First Amendment.(1) The Institution shall itself determine the interest rate to be paid and received on micro-savings and micro-credit, subject to the policies and directives of the Nepal Rastra Bank. The Institution shall provide information of such determination of interest rate to the Bank within seven days. (2) Notwithstanding anything contained in subsection (1), the Bank may, if it deems necessary, direct the Institution to increase or decrease the interest rate determined by the Institution, and it shall be the duty of the concerned Institution to comply with such directive. 15. Service Fee may be Charged: The Institution may charge a service fee for providing any service, facility, technical knowledge, or training to any person or group regarding the mobilization of micro-savings and micro-credit, Deleted by the First Amendment 16. Records to be Maintained: The Institution shall maintain updated records of its work relating to financial intermediation. Chapter - 4 Work, Duties, and Powers of the Bank 17. Inspection or Investigation may be Conducted or Caused: (1) The Bank may conduct or cause to be conducted inspections or investigations of the office or work operations of the Institution as necessary. (2) It shall be the duty of the concerned Added by the First Amendment.Institution and its employees to provide the documents or details requested by the person conducting such inspection or investigation under subsection (1). (3) Other provisions relating to inspection or investigation shall be as prescribed. 18.

Directions may be Issued: (1) If, in the course of inspection or investigation under Section 17, the Institution is found to have done any of the following acts, the Bank may, fixing a specific time, direct the Institution to rectify any of its acts or to make specific arrangements regarding its operations:- (a) Failure to perform acts required to be done under this Act, (b) Added by the First Amendment.Doing any act detrimental to savers or borrowers, (c) Books, accounts, or documents found not properly maintained, (d) Failure to comply with the conditions prescribed or directives given by the Bank, (e) Embezzlement of the Institution's funds or Added by the First Amendment.utilization of received funds for purposes contrary to the objective of this Act, (f) Failure to provide details, statistics, or documents called for under this Act. (2) The Bank may issue directives from time to time to the Institution regarding matters that the Institution is required to do under this Act or the rules made under this Act, and it shall be the duty of the concerned Institution to comply with such directives. 19. License may be Cancelled: Amended by the First Amendment.(1) If any Institution violates a directive given under Section 18, the Bank may warn it to rectify or place restrictions on any activity of such Institution. If such directive is violated three times, or if the Institution does any of the following acts, the Bank may suspend or cancel the license of such Institution:- (a) If it ceases to engage in financial intermediation, (b) If it embezzles the Institution's funds or does not utilize funds for the purpose for which they were received, (c) If, after having been directed by the Bank within a specified time to rectify any act or to make specific arrangements, it fails to act accordingly, Added by the First Amendment.(d) If it fails to get the Institution registered under the Institution Registration Act, 2034 (1977) and renewed under Section 7 of this Act. (2) Prior to issuing an order to cancel the license under subsection (1), the Bank may, if it deems necessary, cause necessary inspection or investigation regarding the matter. (3) Prior to cancelling the license under subsection (1), the Bank shall provide the concerned Institution an opportunity to submit an explanation. 20. May Prohibit Engaging in Financial Intermediation: If, due to any act under Section 18 by an Institution, it appears inappropriate to allow such Institution to continue engaging in financial intermediation in its current

state, the Bank may, after providing the Institution an opportunity to make necessary rectification, prohibit it from engaging in financial intermediation for a specified period. Amended by the First Amendment.21.

May Grant Leave from Financial Intermediation: If an Institution applies to the Bank to be relieved from engaging in financial intermediation, and if it appears that such Institution has settled all payable liabilities, the Bank may grant such Institution leave from engaging in financial intermediation. Provided that if such Institution is unable to settle all liabilities, the Bank shall prohibit such Institution from engaging in work related to financial intermediation and send a letter to the Government of Nepal to have the liabilities paid from the assets of such Institution under the Institution Registration Act, 2034 (1977). Added by the First Amendment.21A. Recovery from Personal and Family Assets of Office-bearer: If any office-bearer of the Institution engages in or causes to engage in financial intermediation activities in a manner contrary to personal interest or the objective of this Act and with mala fide intent, or embezzles the Institution's funds, the Bank shall recover the amount so embezzled from the movable and immovable property of such office-bearer and his family Deleted by the Republic Strengthening and Amendment of Certain Nepal Acts Act, 2066 (2009). located in Nepal. 22. Deleted by the First Amendment. 23. Deleted by the First Amendment. Chapter-5 Fund, Accounts, and Audit of the Institution 24. Amended by the First Amendment.Fund of the Institution: (1) Amended by the First Amendment.There shall be a separate fund of the Institution, and the following amounts shall be deposited in such fund:- (a) Amended by the Act to Amend Certain Nepal Acts to Make Them Consistent with the Constitution of Nepal, 2075 (2018).Amounts received as grants or loans from the Government of Nepal, Added by the First Amendment.Provincial Government, or the Bank or domestic or foreign associations, institutions, etc., Added by the First Amendment.(a1) Amounts received by collecting micro-savings, Added by the First Amendment.(a2) Amounts received from commercial banks or financial institutions. (b) Amounts as prescribed out of the fees received from members of the Institution, (c) Amounts received as service fees for services provided by the Institution, (d) Amounts received as interest, fees, etc., from micro-credit, (e) Amounts received from other sources. (2) All expenses incurred in the name of the Institution shall be borne out of the fund under subsection (1). Added by the First Amendment.Provided that amounts collected from micro-savings and amounts received for micro-credit shall not be spent for other purposes. Amended by the First Amendment.(3) The amount of the fund shall be deposited by opening an account in any commercial bank or financial institution, and the operation of such account shall be as prescribed.

Added by the First Amendment.(4) If the Institution does not have the immediate capacity to disburse micro-credit, it may, with the approval of the Bank, invest in a fixed deposit for a maximum period of up to six months. 25. Risk Bearing Fund: (1) The Institution shall, in addition to the fund mentioned in Section 24, establish a separate risk bearing fund for the purpose of bearing potential losses arising from the provision of micro-credit, and shall deposit in such fund, by the last day of each fiscal year, an amount equal to the prescribed percentage of the total outstanding credit amount remaining invested. (2) The amount deposited in the fund under subsection (1) may be invested by the Institution in securities of the Government of Nepal or the Bank Added by the First Amendment.or in fixed deposits of commercial banks or financial institutions. (3) The amount deposited in the fund under subsection (1) shall be used only for the purpose of writing off micro-credit. If micro-credit is required to be written off accordingly, the Institution shall obtain the approval of the Bank. 26. Accounts and Audit of the Institution: (1) The Institution shall keep separate accounts for its work relating to financial intermediation, and shall prepare a balance sheet for each fiscal year and have it audited by a Amended by the First Amendment.recognized auditor appointed by the general meeting of the Institution within six months of the end of such fiscal year. (2) While appointing an auditor under subsection (1), the same person or firm shall not be appointed for more than three consecutive times. (3) The

remuneration of the auditor shall be as prescribed by the general meeting of the Institution. (4) The Bank may, if it wishes, examine or cause to examine the books of accounts of the Institution at any time. 27. Deleted by the First Amendment. Chapter-6 Penalties 28. Penalties: (1) If any person engages in financial intermediation without obtaining a license under this Act, such person shall be liable to a fine of up to twenty thousand rupees or imprisonment for up to six months or both.

If an institution does such act, the office-bearer managing the affairs of such institution shall be liable to such penalty. (2) If any Institution fails to comply with this Act or the rules made under this Act or any order or directive given by the Bank, or fails to provide or submit any details or documents called for under this Act, or deliberately provides false information, and if any loss or damage has been caused by such act, then, after recovering the amount of loss from the concerned employee, such employee shall be liable to a fine of up to ten thousand rupees or imprisonment for up to six months or both. (3) If any employee of the Institution misappropriates or uses for personal work the cash or goods of the Institution, then, after recovering the amount of loss from such employee, such employee shall be liable to imprisonment for up to five years or a fine according to the amount of loss or both. (4) If any employee of the Institution commits an act of cheating a borrower or causing loss or harassment unlawfully, the Bank or the concerned party may initiate proceedings against such employee under the prevailing law. 29. Proceedings under Prevailing Law may be Initiated: If any Institution commits any act punishable under the prevailing law, this Act shall not be deemed to prevent the initiation of proceedings against such Institution under that law. Chapter-7 Miscellaneous 30. Registration Fee or Revenue Stamp Not Applicable: When taking over property received as collateral from a borrower by transferring it to the name of the Institution, or when purchasing or selling any immovable property by the Institution, registration fee or revenue stamp shall not be applicable to such transaction. 31. Income Tax Exemption: The Government of Nepal may, by a notification published in the Nepal Gazette, grant exemption from income tax, wholly or partially, on the income earned by the Institution. 32. Annual Report to be Submitted: The Institution shall, within three months of the end of each fiscal year, submit a preliminary annual report of its work activities relating to financial intermediation, Added by the First Amendment.including a statement of profit and loss, to the Bank. 33. Consultation with the Bank Required: Prior to cancelling an Institution under the Institution Registration Act, 2034 (1977), consultation with the Bank shall be required. Added by the First Amendment.33A.

May Merge or Amalgamate: (1) Notwithstanding anything contained in the Institution Registration Act, 2034 (1977), if two-thirds of the members present at a general meeting of an Institution engaged in financial intermediation under this Act support a proposal to merge another institution into itself or to amalgamate its institution into another, such proposal shall be deemed to have been passed by the general meeting. Provided that a proposal shall not be passed to merge or amalgamate with an institution that is not engaged in financial intermediation under this Act. (2) After the proposal passed under subsection (1) is submitted to the office registering the amalgamating institution and to the Bank, and separate approvals are obtained from that office and the Bank, the legal existence of such amalgamating institution shall be deemed automatically terminated. (3) The assets of the amalgamating institution under subsection (1) shall vest in the merging institution, and the merging institution shall bear all liabilities of such institution. 34. Protection of Work Done in Good Faith: No member or employee of the Institution shall be individually or collectively held liable for any work or action done in good faith under this Act or the rules made under this Act. 35. Subject to Prevailing Law: Notwithstanding anything contained in the prevailing law, matters provided for in this Act or the rules made under this Act shall be as per those provisions, and other matters shall be as per the prevailing law. 36. Power to Make Rules: The Bank may make necessary rules to implement the objectives of this Act, and such rules shall come into effect after approval by the Government of Nepal. 37. Power to Make Regulations: The

Institution may, subject to this Act or the rules made under this Act, make regulations as necessary for its operations, and such regulations shall come into effect after approval by the Bank.